

India's GCCs have a choice: Keep executing or start inventing

By Dheeraj Gangrade and Atul Langote



For decades, India's global capability centres (GCCs) have been the unsung workhorses of global tech. They've delivered scale and savings, quietly powering operations, product rollouts and transformations. But they've largely stayed in the background. AI is about to change that.

Because with the rise of generative and agentic AI, GCCs face a choice: continue as efficient executors, or evolve into AI-native innovation engines that drive the future.

Many are still stuck in the 'AI pilot' zone. A few are moving faster – redesigning themselves to create core products, own intellectual property and lead enterprise transformation. These are the AI-native GCCs, and they're not the future – they're already here.

The end of the 'add-on' era

Being AI-native is not about using AI tools in ops or automating a few dashboards. It's about changing how your GCC thinks, builds and ships. Our recent survey of Indian GCCs titled *Catalysing value creation in Indian global capability centres* revealed that leaders of 49% of service-based GCCs and 67% of product-based GCCs believed that they needed to grow deeper capabilities and skills in high-end software to build AI-driven solutions.

In an AI-native GCC, product ownership replaces project execution and AI talent sits inside cross-functional pods, not on a CoE 'island'. Machine learning operations (MLOps), data products, and real-time experimentation become the new foundation of the work done by GCCs, and performance is measured by IP creation, velocity,

and business outcomes – not full-time equivalents (FTEs).

Take the example of a leading global healthcare technology company based in Bangalore – their India team leads global AI-powered healthcare solutions, from diagnostic imaging to patient triage systems. This is not 'support'. It's product innovation, led from India. In fact, **our survey** shows that 60% of both product and service-based GCCs felt that they needed to invest more to gain a better understanding of the HQ's business problems by leveraging the power of AI.

From delivery factories to IP powerhouses

AI-native GCCs are becoming IP-generating powerhouses. They're co-creating value and often defining the very platforms they build on. We're seeing India-based teams develop proprietary models for niche industries – from insurance underwriting to retail demand sensing.

For example, a leading creative software provider's India GCC was instrumental in building the AI platform powering its flagship product – a foundational capability, not an enhancement. These aren't just projects; they're IP moves, originating in India.

India as co-creator, not just executor

For years, most of India's GCCs worked downstream – following playbooks sent from global HQs. Today, we're seeing something far more exciting: genuine co-creation. India's new-age, AI-native teams are shaping AI use cases that tap into India's own digital public infrastructure and rich data ecosystem. They are sitting at core product steering tables,

influencing global R&D roadmaps.

Look at a large US-based retailer's India Engineering Centre – over 800 AI models deployed globally, many first built and tested here. This is no longer just about efficiency – it's about stepping up as strategic leaders. And India has a strong opportunity with a young, AI-hungry workforce and platforms like Aadhaar, UPI and ONDC that make for the perfect test bed.

This is not just growth, it's a power shift

India's GCC market is projected to surge from around USD 64.6 billion (FY24) to USD 100–110 billion by FY30. We're seeing a sharp rise in AI-led CoEs and a decisive shift from time-and-materials to outcome-based product metrics. Patent filings from India GCCs are growing in double digits. The shift from 'capacity centres' to core product engineering hubs is clear.

For parent companies, this isn't just talent play. It's a strategic shift delivering speed to value through rapid iteration, strategic leverage via new business models and Indian-born IP, and resilience as India's diverse data and digital maturity make its AI models more inclusive and robust. GCCs in India are also becoming talent magnets, drawing top-tier engineers and reversing brain drain. For India, this is an inflection point – a chance to evolve from the world's IT services engine to the world's AI product lab.

A shift in role – and expectation

If the India centre of a global HQ still operates like a managed service shop, it's not just lagging behind – it's replaceable. AI-native GCCs build products, not just deliver tickets. They set AI R&D agendas, invent tools that reshape global business models, and stay relevant in a world where AI commoditises routine work faster than HQs can outsource it.

India's GCCs are no longer waiting for direction – they're shaping roadmaps, building core products and driving AI-led innovation at scale. They're filing patents, owning IP and solving strategic problems from the ground up. The shift is already here. What was once support is now a product engine. AI-native GCCs aren't the future – they're the new standard.

Dheeraj is Partner and GCC Consulting Leader – PwC India and Atul is Partner, PwC India.